EQUITY RESEARCH | INTRINSIC VALUATION STUDY | INDIA CONSUMER DISCRETIONARY

Titan Company Limited

NSE: TITAN | Jewellery, Watches & Lifestyle | Tata Group

What are the cash flows really worth?

A fundamental, cash-flow-based valuation that sets aside market sentiment, demands a rigorous cost of capital and forces Titan to mature within five years.

Author: Shubhyam Nai Report date: 1 November 2026 Currency: ₹ crore unless stated

KEY DATA

Current market price (CMP)	**₹4,705**
Intrinsic value per share (DCF)	**₹652**
Intrinsic value vs CMP	**-86.1%**
Market capitalisation	**₹417,703 cr**
Shares outstanding	**88.78 cr**
WACC / terminal growth	**12.37% / 6.0%**
Cost of equity / post-tax cost of debt	**12.82% / 6.14%**
FY26 revenue / EBIT / net profit	**₹87,584 / 7,531 / 5,073 cr**
FY26 EPS / DPS	**₹57.14 / ₹15.04**
Trailing P/E at CMP	**82.3x**

Rating: HOLD/BUY. This is an independent intrinsic-value study; the investment thesis section can be found as per the index. Source: Titan Annual Report 2025-26, company financials & Valuation model.

THE STUDY IN THREE LINES

- Titan reinvested 154.6% of its NOPAT in FY26 and FCFF was ₹-2,993 cr; the model fades reinvestment to 42% by FY31E.
- A 12.37% WACC and 6% terminal growth give equity value of ₹57,890 cr, or ₹652 per share.
- ₹4,705 needs about a 10% WACC, 15 years of 15% growth, a 14% EBIT margin and a 25% ROIC (stylised reverse DCF).

This report is an independent academic and analytical work. Please read the disclaimer at the end of the document.

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1. Investment summary

> **Analytical stance.** This valuation is deliberately **conservative and rigorous on the cost of capital**. It demands more from Titan than the market does: a 12.37% WACC, a terminal growth rate capped at 6%, and a forecast that forces a business that has compounded revenue at more than 30% a year to **mature within five years** (growth fading from 15.4% to 8% by FY31). The result is a floor-style intrinsic value, not a forecast of the share price.

This report values Titan Company Limited from first principles. It strips away market sentiment and asks a single question: what are the cash flows that Titan's operating business can generate over the next five years, and beyond, actually worth today? The answer is built in five steps. First, revenue is projected from a blend of street consensus and a management-guidance-weighted segment build. Second, operating profit is converted into free cash flow after deducting the large reinvestment that Titan's store rollout and gold inventory demand. Third, a cost of capital is built bottom-up from peer betas, a country-risk-adjusted equity premium and a market-based cost of debt. Fourth, cash flows are discounted and a terminal value is added. Fifth, the enterprise value is bridged to equity value and divided by the share count.

Key conclusions

- **Revenue engine.** Near-term street consensus growth (12.7%) is blended 50:50 with a segment-weighted management thesis (18.15%) to give a base-case growth rate of **15.4%** for FY27E. Growth then steps down through 13.5%, 11.0% and 9.0% to **8.0% in FY31E**, modelling market maturity.
- **Reinvestment reality.** Titan reinvested **154.6%** of its after-tax operating profit in FY26 (and 212% in FY25), funding store openings and an inventory build, which left free cash flow to the firm negative at ₹-2,993 cr. The model fades reinvestment from 80% to **42% by FY31E**, allowing FCFF to rise from ₹1,589 cr in FY27E to ₹7,809 cr in FY31E.
- **Capital structure bridge.** Operating enterprise value of ₹84,268 cr is converted to equity value by subtracting **₹30,621 cr** of debt (borrowings, gold on loan and leases) and ₹1,180 cr of minority and other obligated interests, and adding **₹1,917 cr** of cash and **₹3,506 cr** of non-operating strategic investments.
- **Valuation verdict.** A **12.37% WACC** and **6% terminal growth** produce an equity value of ₹57,890 cr, or an intrinsic value of **₹652 per share**, against a market price of ₹4,705, a gap of 86%. Terminal value contributes 86% of enterprise value.
- **What the market is pricing.** Holding the model's five-year cash flows, the price of ₹4,705 requires a WACC of only **7.35%**. On a stylised extended-runway basis, it requires roughly a 10% cost of capital, about 15 years of 15% growth, a 14% EBIT margin and a 25% return on new capital (section 12). The market is paying for a very long, very profitable growth runway.

Valuation snapshot	Value
Sum of PV of FCFF (FY27E-FY31E)	₹11,711 cr
PV of terminal value	₹72,557 cr
Enterprise value (operating)	₹84,268 cr
(+) Cash and equivalents	₹1,917 cr
(+) Non-operating investments	₹3,506 cr
(-) Debt incl. gold on loan and leases	₹-30,621 cr
(-) Minority and other obligated interests	₹-1,180 cr
Equity value	₹57,890 cr
Shares outstanding	88.78 cr
Intrinsic value per share	**₹652**

Financial summary

₹ crore	FY21	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	21,644	28,799	40,575	51,084	60,456	87,584	101,093	114,741	127,362	138,825	149,931
YoY growth	-	33.1%	40.9%	25.9%	18.3%	44.9%	15.4%	13.5%	11.0%	9.0%	8.0%

₹ crore	FY21	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E	FY31E
EBIT	1,350	2,945	4,441	4,708	5,001	7,531	10,615	12,048	14,010	14,577	17,992
EBIT margin	6.2%	10.2%	10.9%	9.2%	8.3%	8.6%	10.5%	10.5%	11.0%	10.5%	12.0%
NOPAT	935	2,183	3,183	3,410	3,521	5,482	7,943	9,015	10,484	10,908	13,463
Net reinvestment	-232	4,225	2,293	2,665	7,471	8,475	6,355	7,212	7,968	6,545	5,655
FCFF	1,167	-2,042	890	745	-3,950	-2,993	1,589	1,803	2,516	4,363	7,809
ROIC	-	17.4%	21.2%	17.2%	15.1%	17.8%	17.9%				
Reinvestment rate	-25%	194%	72%	78%	212%	155%	80%	80%	76%	60%	42%

Source: author model (FCFF forecasting sheet); Titan annual reports. FY27E-FY31E are model forecasts. FY21-FY26 net reinvestment and FCFF are derived from balance-sheet and cash-flow data as set out in the model.

Positioning against the market

At ₹4,705 per share Titan trades at about 82 times FY26 earnings and 53 times FY26 EBITDA. At the model's intrinsic value of ₹652 the same company would trade at 11.4 times earnings and 10.1 times EBITDA. That gap is the central finding of the study. It is not an argument that Titan is a poor business: its return on equity of 32%, its brand, and its category leadership are all real. It is a statement about price: the market is capitalising Titan as if the current growth rate and cost of capital will persist for a decade or more, while this study assumes the company reaches maturity in five years and is discounted at a rate that reflects the genuine risks of a gold-linked, inventory-heavy, debt-funded retailer.

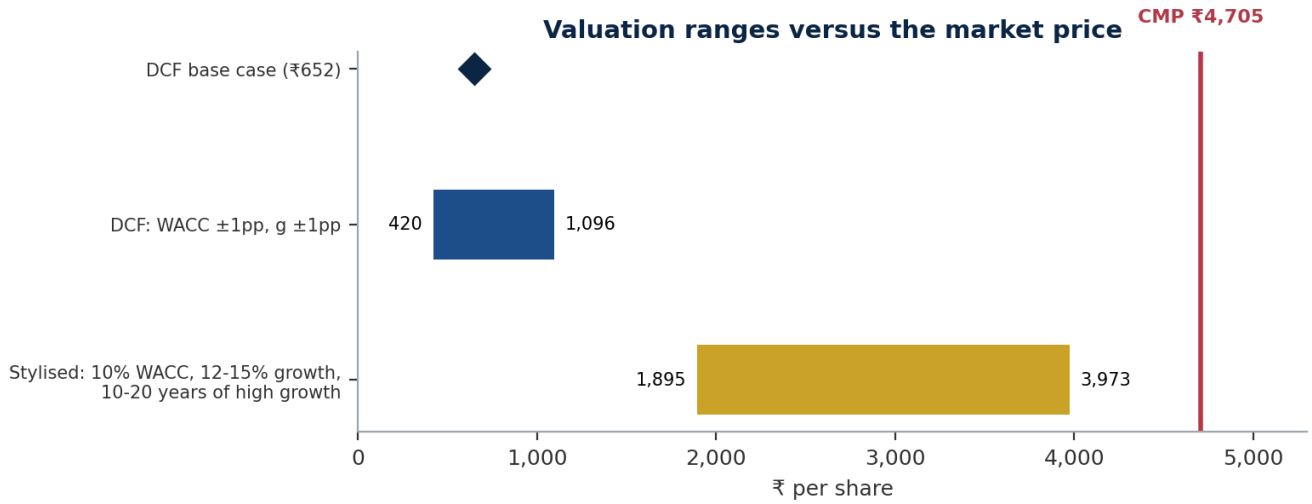


Figure 1: Intrinsic value ranges versus the market price. Source: author model; stylised range computed in section 12.

Investment thesis: ACCUMULATE

While a strict 5-year DCF yields a conservative ÿ652 fundamental valuation, Titan's operational momentum justifies the market's premium. We initiate an ACCUMULATE rating driven by three key catalysts:

The Damas Catalyst: FY26 captured only one quarter of Damas revenue. Full integration in FY27 will trigger a massive cash flow spike and unlock the lucrative GCC luxury market, extending Titan's hyper-growth runway.

Accretive Reinvestment: Near-term free cash flow is suppressed by aggressive expansion, but Titan's high 17.8% ROIC ensures this capital will compound into massive future cash generation.

Earnings Quality: A 36% dividend hike in FY26 proves the core domestic business can simultaneously fund aggressive international M&A and strong shareholder returns.

Bottom Line: Titan is successfully transitioning into a global lifestyle compounder. For growth-oriented investors, the current price offers an attractive entry point for long-term capital appreciation.

2. Company profile

2.1 Overview

Titan Company Limited is India's leading branded lifestyle company and a flagship of the Tata Group. It began in 1984 as a joint venture between the Tata Group and the Tamil Nadu Industrial Development Corporation (TIDCO), originally to make wristwatches, an industry then dominated by state-run and imported products. Four decades on, the company is primarily a jewellery business that also owns the country's largest watch franchise and a growing set of lifestyle, eyecare, fragrance, accessories, ethnic-wear and precision-engineering businesses. In FY26 it generated consolidated revenue of **₹87,584 crore** and net profit of **₹5,073 crore**, and it is among the most valuable listed consumer companies in India, with a market capitalisation of about **₹4.18 lakh crore** on the data used in this report.

Titan's identity rests on three things: trust, design and retail execution. In a market where the unorganised sector has historically sold jewellery on the basis of personal relationships and where adulteration of metal purity was a widespread worry, Titan's Tanishq brand built its franchise on assured purity, transparent pricing, certified diamonds and a standardised store experience. The same logic, a trusted national brand replacing a fragmented local trade through a company-owned and franchised store network, has been applied to watches (Titan, Fastrack, Sonata), eyecare (Titan Eye+) and ethnic wear (Taneira). The group is headquartered in Bengaluru, with major manufacturing campuses at Hosur in Tamil Nadu, Coimbatore, Pantnagar and other locations for watches, jewellery and eyewear.

2.2 History and milestones

Year	Milestone
1984	Incorporated as Titan Watches Limited, a joint venture of the Tata Group and TIDCO
1987	Titan wristwatches launched, beginning the shift from mechanical to quartz watches in India
1995	Tanishq launched as India's first national, branded fine-jewellery retail chain
1998	Fastrack launched, targeting youth with fashion-led sunglasses and, later, watches and accessories
2007	Titan Eye+ launched, entering organised eyecare retail
2012-13	Zoya (luxury jewellery) and SKINN (fragrances) introduced; the company renamed Titan Company Limited
2016	Majority stake acquired in CaratLane, a digital-first jewellery brand
2017	Taneira launched in handloom and Indian ethnic wear
2019	Mia by Tanishq launched for lightweight everyday-wear jewellery
FY26	Acquired a 67% stake in Damas Jewellery LLC (Gulf); launched beYon (lab-grown diamond jewellery); added 135 jewellery stores and 30 watch stores; TEAL (engineering) scaled to ₹1,497 cr of income

Source: Titan public disclosures and Annual Report 2025-26 as captured in the model. Early-year milestones are from company history.

2.3 Ownership, governance and the Tata advantage

Titan's promoter group is led by Tata Sons and TIDCO, and the company operates under the Tata Group's code of conduct and governance framework. This matters commercially as well as legally. The Tata name is a purity guarantee in its own right in the Indian consumer mind, lowers the company's cost of funds, and provides access to a deep pool of management talent. It also anchors the company's long-term decision-making: store rollouts, brand-building and manufacturing investments are made on multi-year horizons that a more short-term-driven owner might not tolerate. The model reflects this strength in the cost of debt, which is built from the risk-free rate plus a modest 1.0% default spread.

2.4 Business model

Titan's jewellery model is a high-turnover, low-margin, working-capital-intensive retail model. Gold is bought from banks and bullion suppliers, partly through **gold-on-loan** (metal loans) that act as a cheap, short-tenor source of financing; it is converted into finished jewellery at Titan's own and partner manufacturing facilities; and it is sold through a network of thousands of stores across its brands. Titan earns a making-charge margin and a design and diamond premium on top of the metal, but most of the revenue is the pass-through value of gold itself. This is why consolidated EBIT margin is only 8.6% in FY26 on a gross margin of 16.1%, why inventory days run at 178, and why debt including gold on loan rose to ₹30,621 crore in FY26. Titan also operates a gold-exchange programme and savings schemes that bring customers back into the store and recycle metal.

The other businesses follow a more conventional branded-retail model. Watches are made in-house and sold through Titan World, Helios and Fastrack stores plus large-format and e-commerce channels; Titan Eye+ combines retail optometry with lens and frame manufacturing at Chikkaballapur and Kolkata; Taneira and the emerging brands are asset-light and scaling, with Taneira linked to weavershalas that secure artisan supply. Titan Engineering & Automation Limited (TEAL) is a B2B precision engineering and automation business serving aerospace, defence, semiconductor and electronics customers.

2.5 Segments at a glance

Segment	Brands / entities	FY26 revenue	FY26 EBIT	Margin	Category
Jewellery	Tanishq, Zoya, Mia, beYon, Damas, TCL North America	₹67,602 cr	₹7,209 cr	10.7%	High growth
CaratLane	CaratLane (subsidiary, standalone)	₹6,293 cr	PBT ₹357 cr	5.7% PBT	High growth
Watches & Wearables	Titan, Fastrack, Sonata, Nebula, Edge	₹5,267 cr	₹824 cr	15.6%	Mature
EyeCare	Titan Eye+, Runway	₹916 cr	₹77 cr	8.4%	Mature / stable
Emerging businesses	SKINN, IRTH, Taneira	₹508 cr	n.d.	n.d.	Emerging
TEAL and others	TEAL, TEAL USA, TCTL, international, eliminations	₹6,998 cr	TEAL ₹287 cr	TEAL 19.1%	High growth (TEAL)

Source: Titan Annual Report 2025-26 (segment pages as referenced in the model). n.d. = not disclosed. The model maps the ₹87,584 cr consolidated revenue into the six revenue buckets shown; the Jewellery segment is stated excluding bullion sales.

3. Business segment analysis

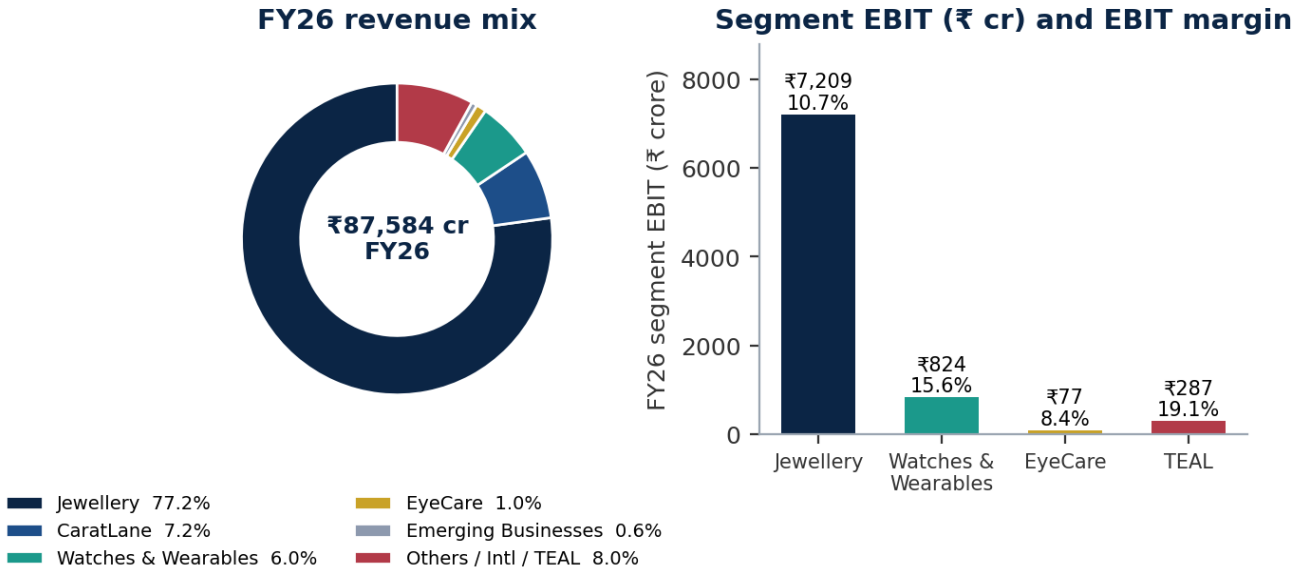


Figure 2: FY26 revenue mix and segment EBIT. Source: Titan Annual Report 2025-26; model.

3.1 Jewellery (Tanishq, Mia, Zoya, CaratLane, beYon, Damas)

Jewellery contributes 77% of consolidated revenue (84% with CaratLane) and **89% of disclosed segment EBIT**. Segment revenue excluding bullion grew 34% to ₹67,602 crore and segment EBIT grew 47.2% to ₹7,209 crore, lifting the EBIT margin by about 100 basis points to 10.7%. Three forces drove this: continuing share gain from unorganised jewellers as consumers formalise and gold-linked savings move into hallmarked products; a store network that added 135 outlets in FY26 (Tanishq 35, Mia 49, Zoya 1, beYon 1, CaratLane 49); and a rising studded-jewellery mix, which carries higher making-charge and diamond-related margins than plain gold. High gold prices hurt volume but increase the rupee value of each sale, and Titan's lightweighting programme and 3D printing reduce grammage per design to protect affordability.

CaratLane is a standout: standalone turnover rose from ₹4,193 crore to ₹6,293 crore (+50%) with profit before tax of ₹357 crore, up from ₹201 crore. **Damas**, acquired in the final quarter of FY26, contributed ₹574 crore of revenue (AED 230 million) over three months and a loss of ₹18 crore (AED 7 million) while integration was under way. The **United States** business (TCL North America and StudioC) generated ₹1,728 crore of revenue, double

the prior year, and management expects it to grow faster than the domestic jewellery business as Tanishq opens in the top diaspora markets. The model assumes 17.5% growth for domestic jewellery, 20% for CaratLane and 25% for the Gulf and international bucket.

3.2 Watches & Wearables

Watches earned ₹5,267 crore of revenue (+14.5%) and ₹824 crore of EBIT (+50.4%), a **15.6% margin** that is the highest of the three large segments and up 370 basis points year-on-year. Higher average selling prices in analog watches, a premium mix shift (Helios Luxe and Titan World 2.0 formats with price points up to ₹1 lakh, mechanical complications priced from ₹25,000 to ₹10 lakh), and an in-house calibre machining capability have offset volume declines in smart wearables. The category is mature; management guides to mid-teens growth, which the model adopts at 15%. The 30 new stores added in FY26 and the Titan Global Retail subsidiary in the UAE (₹2,123 crore revenue, up from ₹1,166 crore) provide the incremental growth.

3.3 EyeCare (Titan Eye+, Runway)

EyeCare is the smallest large segment. Revenue grew 14% to ₹916 crore, but EBIT fell 3.8% to ₹77 crore, so margin compressed from 10.0% to 8.4%. Management points to steady growth from organised retail penetration and higher lens realisations, and Titan is investing in digital optometry, a premium sunglass retail concept (Runway) and manufacturing upgrades at Chikkaballapur and Kolkata that keep local production integration near 90%. The competitive context is difficult: Lenskart, an omnichannel and vertically integrated player, reported about ₹9,002 crore of revenue in FY26, nearly ten times Titan's EyeCare segment. The model assumes 12.5% growth.

3.4 Emerging businesses and TEAL

The emerging businesses (SKINN fragrances, IRTH women's bags and accessories, and Taneira ethnic wear) together earned ₹508 crore of revenue, up 25%. They are strategically valuable options on a larger accessible-luxury market but are only 0.6% of revenue. IRTH operates 17 exclusive outlets with a net promoter score above 95; SKINN has run more than 6 million product trials; Taneira operates 18 weavershala centres supporting more than 500 weavers. The model assumes 30% growth for the bucket.

Titan Engineering & Automation Limited (TEAL) is the surprise of the portfolio. Income rose 73% to ₹1,497 crore with an EBIT margin of 19.1% (₹287 crore) and PBT of ₹259 crore, against ₹113 crore a year earlier. TEAL supplies precision components for aerospace, defence, semiconductor, EV and green-energy customers and has incorporated TEAL USA Inc. to chase US OEM contracts. It is included in the 25% growth assumption for the "Others / International / TEAL" bucket.

3.5 Management growth outlook used in the model

Segment	Management outlook	Rate used	Weight (FY26 reve
Jewellery (India)	15-20% CAGR through share gains, network expansion and formalisation	17.5%	77.2%
CaratLane	20%+ growth; larger future contributor	20.0%	7.2%
Watches & Wearables	Mid-teens growth	15.0%	6.0%
EyeCare	Low-to-mid-teens growth	12.5%	1.1%
Emerging businesses	Rapid scaling of retail footprints	30.0%	0.6%
Others / Intl / TEAL	Damas a major growth driver; TEAL a long-term opportunity	25.0%	8.0%
Segment-weighted growth		**18.15%**	**100%**

Source: management commentary as summarised in the model (Sources and Thesis; Growth rate mapping).

4. Industry and competitive landscape

Titan competes in categories at very different stages of their life cycles. The model classifies Jewellery and TEAL as **high growth**, Watches and EyeCare as **mature / stable**, and Fragrances, Women's Bags and Indian Dress Wear as **emerging**. The competitive set below is drawn from the model's competitor sheet.

Segment	Competitor	Listing	FY26 revenue (₹ cr)	FY25 (₹ cr)	Relevance to Titan
Jewellery	Kalyan Jewellers	Listed, NSE	35,743	25,045	Large branded chain with Gulf presence; overlaps Tanishq customers
Jewellery	Malabar Gold & Diamonds	Private	54,000	42,000	Extensive domestic and diaspora network in the US, UK, Canada, Australia and Gulf
Watches	Fossil Group	Listed, NASDAQ	8,225	9,500	Global fashion-watch competitor with Indian presence
Wearables	boAt	Private	3,089	3,073	Competes directly with Fastrack in smart wearables
EyeCare	Lenskart	Private	9,002	6,668	Omnichannel eyewear leader, expanding abroad (Singapore, UAE, Japan)
Fragrances	ITC Limited	Listed, NSE	89,913*	81,612*	Diversified; Engage brand in mass fragrances (*whole company)
Bags	VIP Industries	Listed, NSE	1,858*	2,169*	Caprese brand competes with IRTH (*whole company)
Dress wear	FabIndia; Nalli Silk Sarees	Private	n.d.	n.d.	Compete with Taneira for premium ethnic wear
TEAL	MTAR Technologies; Lakshmi Machine Works	Listed, NSE	876; 3,353*	676; n.d.	Precision engineering for aerospace and defence

Source: company filings and websites as compiled in the model. n.d. = not disclosed. Peer revenues are consolidated company-level and are not like-for-like with Titan segments.

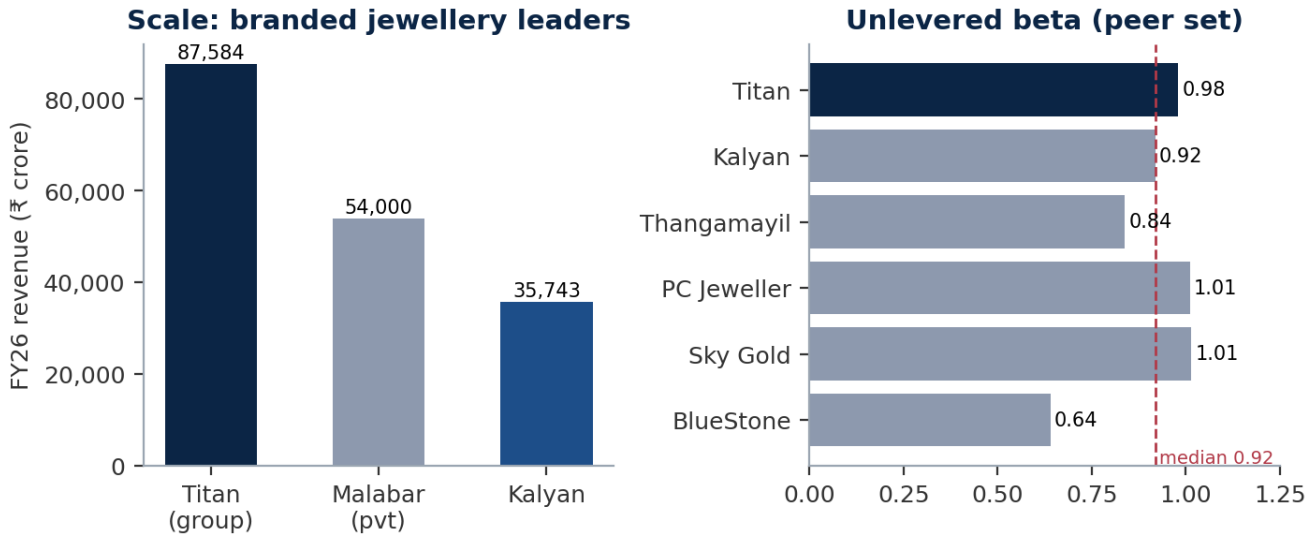


Figure 3: Scale of the branded-jewellery leaders and the unlevered betas of the listed jewellery peer set used for the cost of capital.

4.1 Competitive position

Jewellery. This is the battleground that decides Titan's value. The Indian market is large, still majority unorganised, and moving toward branded, hallmarked, certified product. Titan (₹67,602 crore segment revenue, plus CaratLane) is the clear branded leader, but the pace of its peers should not be underestimated: Kalyan grew about 43% in FY26 to ₹35,743 crore, and Malabar, though private, reports about ₹54,000 crore. Competition is on trust, store reach, making-charge discounts, bridal assortment, and the gold-savings schemes that lock in repeat customers. Titan's differentiation comes from design depth, diamond expertise (the Diamond Expertise Centres and light-scope technology), the Tata trust premium and its 40-year manufacturing know-how.

Watches and eyecare. Titan has a dominant share in organised Indian watches and competes against global fashion brands and consumer-electronics wearables. In eyecare the competition is intense, and Lenskart's scale

and vertical integration are a structural threat to Titan's margins.

Emerging categories. SKINN, IRTH and Taneira compete with global and domestic specialists. Their small base means success matters little to valuation in the near term but a lot to the long-term growth story.

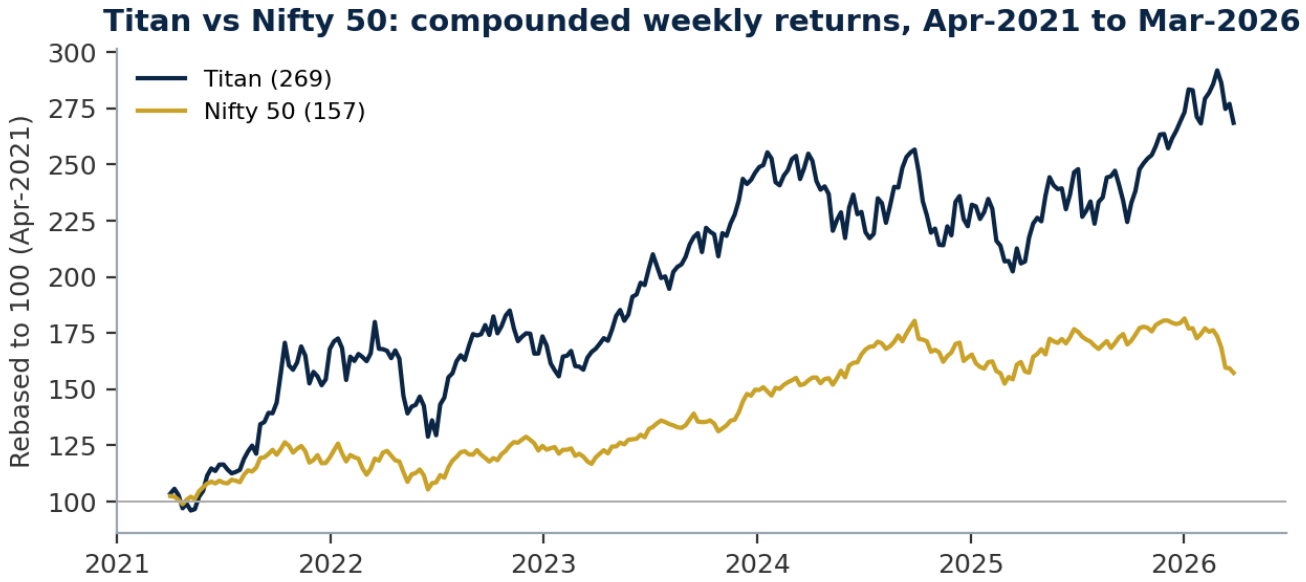


Figure 4: Titan versus Nifty 50, rebased to 100 in April 2021 from the weekly returns in the model. Titan's compounded weekly return series ends at about 269 against 157 for the Nifty.

5. Strategic investments and initiatives

Titan's FY26 annual report documents a broad programme of investments that supports the growth assumptions in the model. They fall into five groups: acquisition and geographic expansion, retail network and formats, manufacturing and technology, new categories, and sustainability. The table summarises the most material items.

Segment	Initiative	Type	Probable impact
Jewellery	Damas Jewellery LLC: 67% stake	Strategic M&A;	Scales the GCC retail footprint; opens direct access to the Arab luxury consumer; diversifies revenue beyond India
Jewellery	Retail expansion: 135 stores added	Retail capex	Deepens Tier 2/3 catchments and top-10 US diaspora markets across Tanishq, Mia and CaratLane
Jewellery	beYon lab-grown diamond brand	New category	Early presence in the lab-grown segment; targets Gen Z self-purchase fashion jewellery
Jewellery	Tanishq Rivaah wedding lounge (Delhi)	Flagship format	Lifts bridal ticket size and conversion with private viewing and stylists
Jewellery	Warehouse robotics and RFID automation	Supply chain tech	Cuts fulfilment time and improves inventory accuracy and working-capital turns
Jewellery	Lightweighting and 3D printing	Manufacturing tech	Reduces gold grammage per design, lowering the price barrier at elevated gold prices
Watches	Helios Luxe and Titan World 2.0; in-house calibre machinery	Retail and manufacturing	Captures premium demand (ASP up to ₹1 lakh) and reduces import dependency
EyeCare	Runway sunglass format; digital optometry; plant upgrades	Retail and manufacturing	Premium sunglass destination; faster testing; lower unit cost, ~90% local production
Emerging	SKINN masstige expansion; IRTH 17 EBOs; Taneira weavershalas	Retail and supply chain	Builds scale in fragrances, bags and ethnic wear; secures 500+ weavers
TEAL	Automation capacity; TEAL USA Inc.	Capex and geographic	Positions TEAL as alternative supplier for aerospace, semiconductor and automation OEMs
Corporate	Suraksha safety programme (2,885 stores); water restoration	Risk and ESG	Safety dashboards and training; 54+ crore litres of water capacity; net water ratio 1.65

Source: Titan Annual Report 2025-26 (page references in the model's Titan Investments sheet).

Read-across to the valuation. These investments are a major reason that reinvestment was 154.6% of NOPAT in FY26. They are also the reason revenue can credibly grow in the mid-teens in the near term. The model's core bet is that the cash cost of this growth falls faster than the growth itself, which is why reinvestment

is faded from 80% to 42% while revenue growth falls from 15.4% to 8%.

6. Historical financial analysis

Titan's six-year record (FY21-FY26) is one of rapid, profitable but capital-hungry growth. Revenue compounded at **32.3% a year** from ₹21,644 crore to ₹87,584 crore, net profit at 39% a year from ₹974 crore to ₹5,073 crore, and earnings per share from ₹10.97 to ₹57.14. Growth was strongest in FY22-FY23 as the business recovered from the pandemic and in FY26, when revenue rose 44.9%. The same period saw debt rise more than five-fold, from ₹5,638 crore to ₹30,621 crore.

₹ crore	FY21	FY22	FY23	FY24	FY25	FY26
Revenue	21,644	28,799	40,575	51,084	60,456	87,584
growth	-	33.1%	40.9%	25.9%	18.3%	44.9%
Gross profit	3,983	5,574	8,280	9,420	10,432	14,123
gross margin	18.4%	19.4%	20.4%	18.4%	17.3%	16.1%
Operating expenses	2,258	2,230	3,398	4,128	4,738	5,766
EBITDA	1,725	3,344	4,882	5,292	5,694	8,357
EBITDA margin	8.0%	11.6%	12.0%	10.4%	9.4%	9.5%
Depreciation & amortisation	375	399	441	584	693	826
EBIT	1,350	2,945	4,441	4,708	5,001	7,531
EBIT margin	6.2%	10.2%	10.9%	9.2%	8.3%	8.6%
Interest	203	218	300	619	953	1,180
Other income	180	177	306	534	487	450
Tax	353	706	1,173	1,127	1,198	1,728
Net profit	**974**	**2,198**	**3,274**	**3,496**	**3,337**	**5,073**
net margin	4.5%	7.6%	8.1%	6.8%	5.5%	5.8%
EPS (₹)	10.97	24.76	36.88	39.38	37.59	57.14
DPS (₹)	4.01	7.52	10.02	11.03	11.03	15.04

Source: Titan annual reports via the model (Historical FS - Titan). EBIT = EBITDA less depreciation, excluding other income, consistent with the FCFF model.

6.1 Growth and profitability

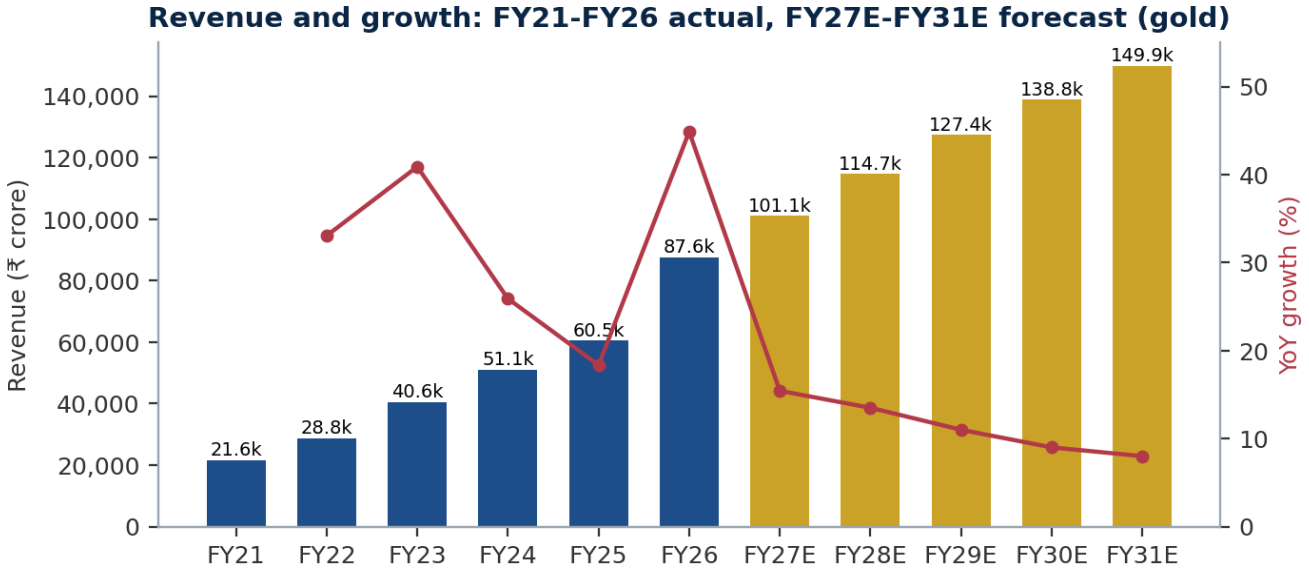


Figure 5: Revenue (₹ crore) and year-on-year growth. Source: model.

Profitability tells a more nuanced story than growth. **Gross margin has compressed every year since FY23**, from 20.4% to 16.1%, as the share of low-margin gold in the sales mix rose with the gold price and as the mix moved toward heavier, lower-margin gold jewellery. Titan offset the whole of that pressure through operating leverage: operating expenses fell from 8.4% of sales in FY23 to 6.6% in FY26, with employee cost dropping from

4.1% to 3.1% of sales and selling and administrative expenses from 6.7% to 4.8%. EBITDA margin therefore peaked at 12.0% in FY23 and has stabilised near 9.5%. EBIT margin of 8.6% in FY26 compares with 10.2-10.9% in FY22-FY23.

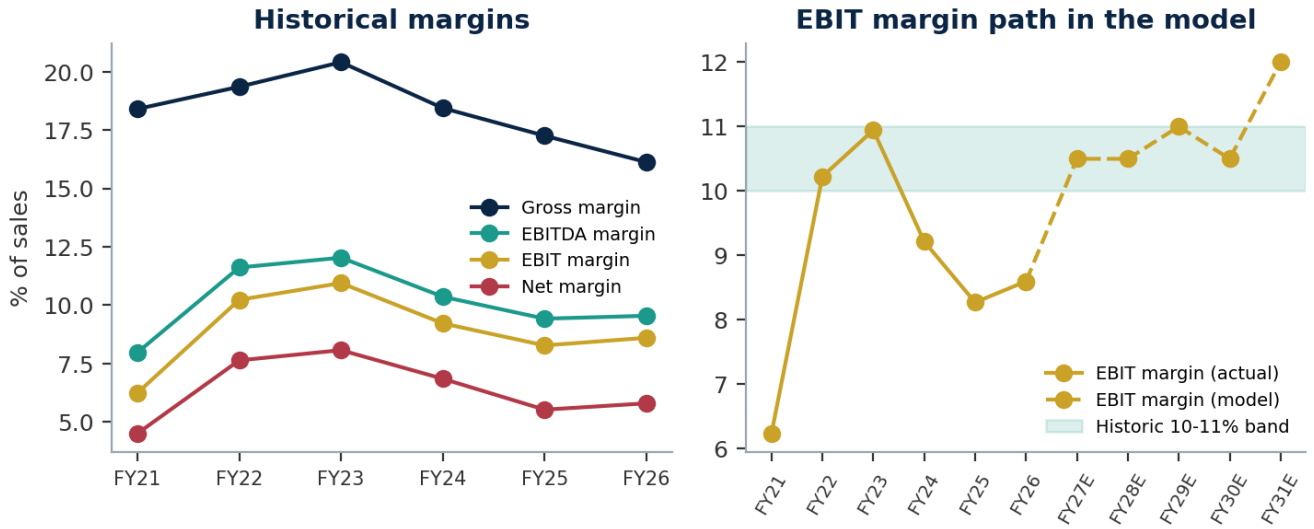


Figure 6: Historical margins (left) and the model's EBIT margin path (right). Source: model.

6.2 Balance sheet and leverage

Titan's balance sheet is essentially an inventory holding financed by debt and supplier credit. Inventory of ₹42,743 crore is **70.6% of total assets** and is growing faster than sales; it more than doubled over FY24-FY26. Net worth grew from ₹7,497 crore to ₹15,703 crore, but debt grew faster, taking book debt-to-equity from 0.75x in FY21 to **1.95x** in FY26. Interest cover (EBIT to interest) is a still-comfortable 6.4x, down from 14.8x in FY23. The composition matters: of the ₹30,621 crore of debt, ₹16,070 crore (52%) is gold on loan, a metal loan that is entirely current and carries a very low nominal rate, and ₹3,173 crore is lease liabilities, with only ₹11,378 crore conventional borrowings. The model treats all three as debt, both in the capital structure and in the equity bridge.

₹ crore	FY21	FY22	FY23	FY24	FY25	FY26
Net worth	7,497	9,303	11,851	9,393	11,624	15,703
Total debt	5,638	7,275	9,367	15,528	20,777	30,621
Other liabilities	3,309	4,610	5,802	6,626	8,244	14,237
Net block + CWIP	2,555	2,629	3,142	3,806	4,167	7,041
Investments	2,824	294	2,515	2,345	1,988	3,506
Other non-current assets	1,731	2,518	2,762	3,801	3,654	4,438
Receivables	366	565	674	1,018	1,068	916
Inventory	8,408	13,609	16,584	19,051	28,184	42,743
Cash and bank	560	1,573	1,343	1,526	1,584	1,917
Total assets	**16,444**	**21,188**	**27,020**	**31,547**	**40,645**	**60,561**
Debt / net worth (x)	0.75	0.78	0.79	1.65	1.79	1.95
Interest cover (x)	6.7	13.5	14.8	7.6	5.2	6.4

Source: Titan annual reports via the model.

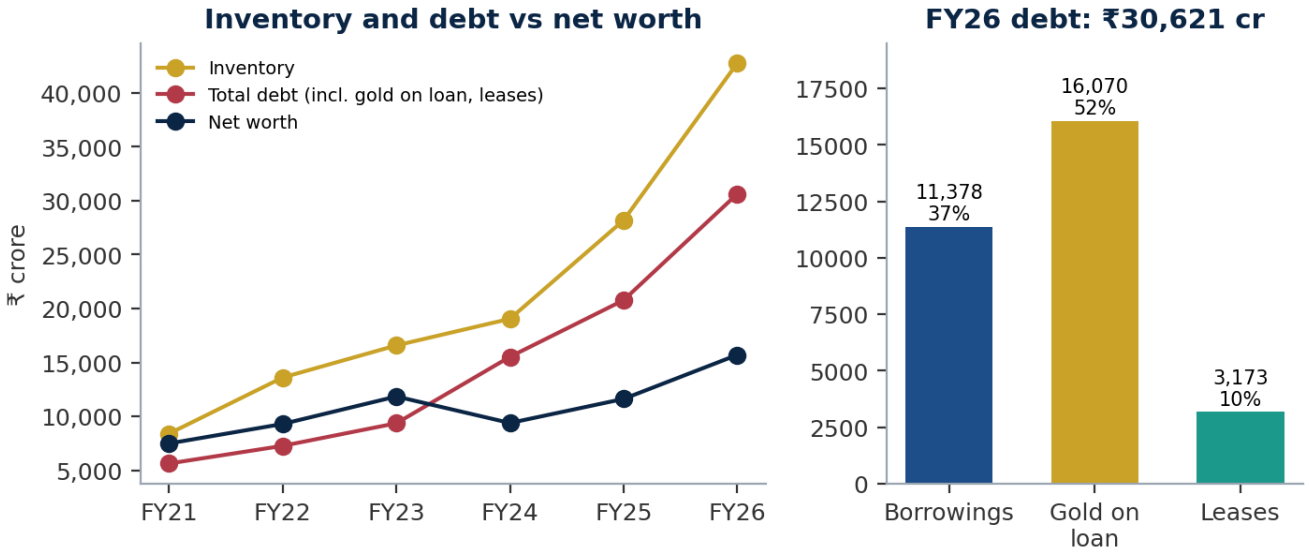


Figure 7: Inventory, debt and net worth (left) and the FY26 composition of debt (right). Source: model.

6.3 Working capital and cash generation

Inventory days rose from 142 in FY21 to 178 in FY26 and the cash conversion cycle has widened from 92 to 123 days, even though payable days increased to 59 (supplier credit and gold-on-loan flows are effectively financing the stock). The consequence is that cash from operations has been erratic: ₹4,139 crore in FY21, negative in FY22 and FY25, and ₹5,590 crore in FY26. Capital expenditure is modest (₹902 crore in FY26, about 1% of sales) because most of the investment is in working capital, not fixed assets. As a result, once **net working-capital build is counted as reinvestment**, free cash flow to the firm has been negative in three of the last five years.

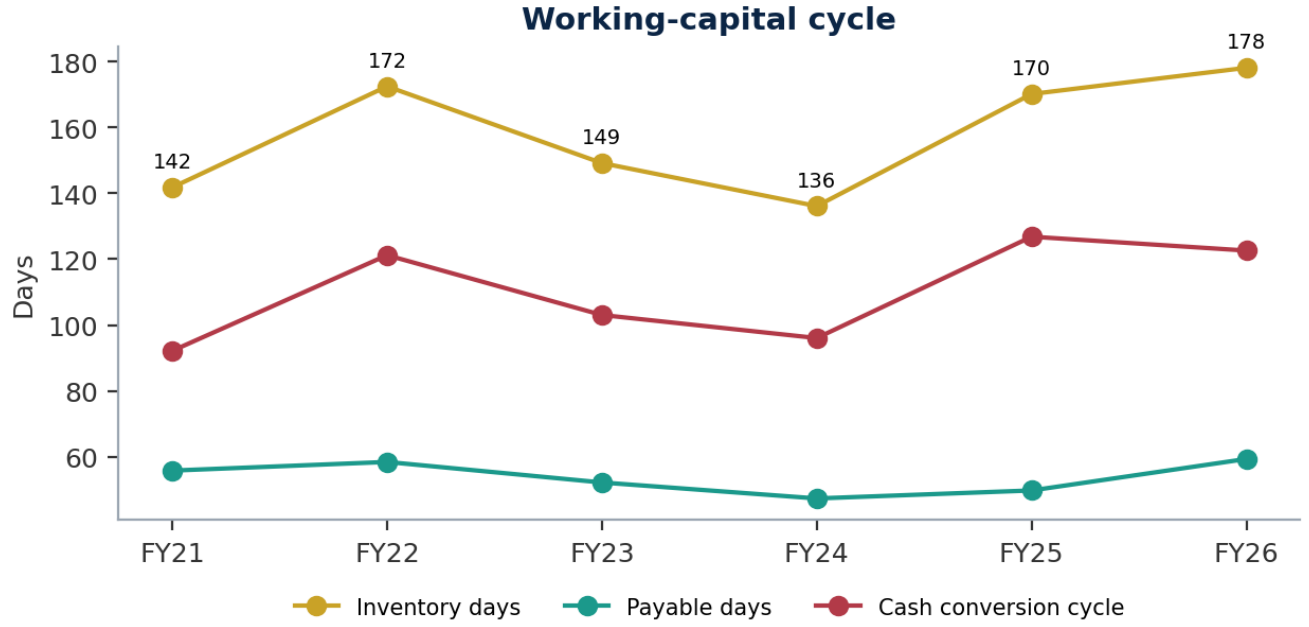


Figure 8: Inventory, payable and cash-conversion days. Source: model (Ratio Analysis).

₹ crore	FY21	FY22	FY23	FY24	FY25	FY26
Cash from operations	4,139	-724	1,370	1,695	-541	5,590
Fixed assets purchased	-146	-224	-432	-691	-494	-902
Cash from investing	-2,799	1,165	-1,814	-189	546	-2,965
Dividends paid	-355	-355	-666	-888	-976	-976
Cash from financing	-1,234	-403	457	-1,329	-7	-2,159
Net cash flow	106	38	13	177	-2	466
CFO / sales	19.1%	-2.5%	3.4%	3.3%	-0.9%	6.4%

Source: Titan annual reports via the model (Historical FS and Cash Flow sheets).

6.4 Returns

Return on equity of **32.3%** in FY26 looks exceptional, but a DuPont decomposition shows that roughly 3.9x of financial leverage supports it: net margin 5.8% × asset turnover 1.45x × equity multiplier 3.86x. Return on capital employed is a more modest 16.3% and return on invested capital 17.8% (NOPAT over opening invested capital). ROIC has held in a tight 15-21% band throughout, which is the key input to the reinvestment logic in the next sections: Titan earns about 17-18 paise of after-tax operating profit on every rupee that it puts into stores and stock.

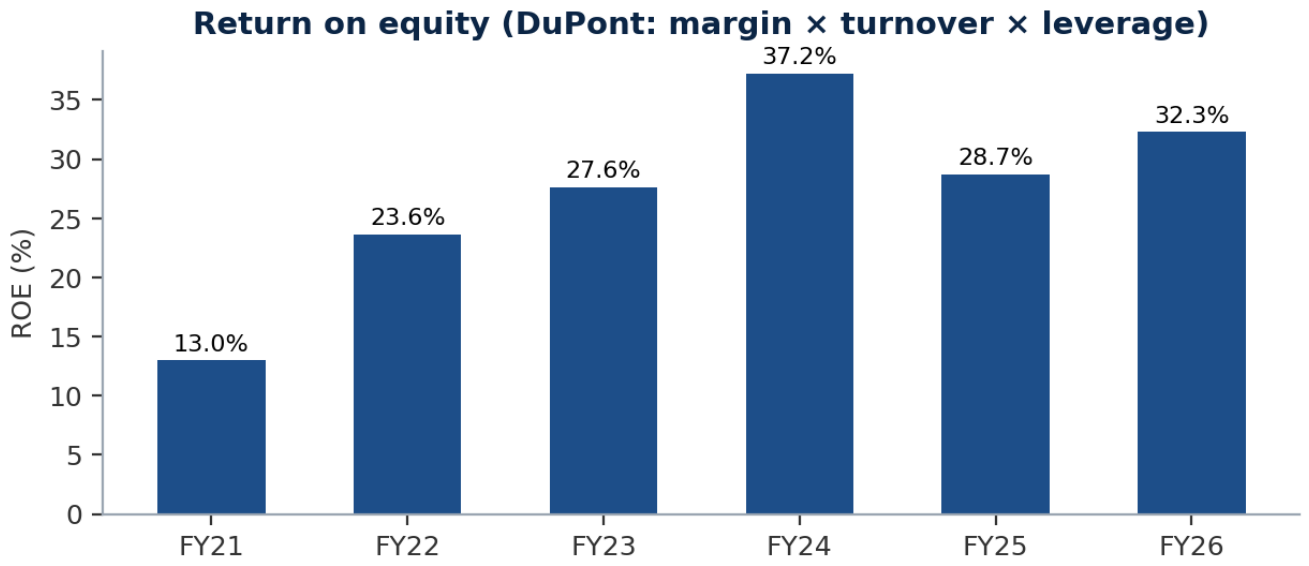


Figure 9: Return on equity. Source: model; DuPont decomposition computed from the historical statements.

Ratio	FY21	FY22	FY23	FY24	FY25	FY26
Return on equity	13.0%	23.6%	27.6%	37.2%	28.7%	32.3%
Return on capital employed	10.3%	17.8%	20.9%	18.9%	15.4%	16.3%
Net margin	4.5%	7.6%	8.1%	6.8%	5.5%	5.8%
Asset turnover (x)	1.32	1.36	1.50	1.62	1.49	1.45
Equity multiplier (x)	2.19	2.28	2.28	3.36	3.50	3.86
ROIC	-	17.4%	21.2%	17.2%	15.1%	17.8%

7. Forecast framework: revenue, margin and reinvestment

7.1 The revenue engine

The forecast for FY27E-FY31E starts with a base-case growth rate that is intentionally anchored on two independent views. The **street consensus** for FY27 is 12.7%. The **management-backed segment thesis** weights the growth that management has guided for each business by that business's share of FY26 revenue and gives 18.15% (see the table in section 3.5). These are blended 50:50:

> g(base, FY27E) = 0.5 × 18.15% (segment-weighted) + 0.5 × 12.7% (consensus) = **15.4%**

As a cross-check, a log-linear regression of FY21-FY26 revenue on time gives a slope of 0.2698 (an annualised growth of 30.98%) with an R^2 of 0.991 and a highly significant coefficient. The historical CAGR is 32.3%. The model uses the 31% trend only as a *ceiling*: the base case sits at half that level, because the FY21-FY26 history is an unusually strong sequence of post-pandemic recovery, gold-price inflation and acquisitions that cannot be extrapolated.

7.2 Fading to maturity

The distinctive feature of the forecast is that Titan is forced to mature within five years. Growth falls each year, margin recovers and reinvestment falls:

	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue growth	15.4%	13.5%	11.0%	9.0%	8.0%
Revenue (₹ cr)	101,093	114,741	127,362	138,825	149,931
EBIT margin	10.5%	10.5%	11.0%	10.5%	12.0%
EBIT (₹ cr)	10,615	12,048	14,010	14,577	17,992
Tax rate	25.17%	25.17%	25.17%	25.17%	25.17%
NOPAT (₹ cr)	7,943	9,015	10,484	10,908	13,463
Reinvestment rate	80%	80%	76%	60%	42%
Net reinvestment (₹ cr)	6,355	7,212	7,968	6,545	5,655
FCFF (₹ cr)	**1,589**	**1,803**	**2,516**	**4,363**	**7,809**

Source: model (Growth rate mapping; FCFF forecasting). Tax rate is the Section 115BAA rate: 22% base plus 10% surcharge plus 4% cess = 25.17%.

7.3 The margin thesis

EBIT margin steps up from 8.6% in FY26 to 10.5% in FY27E, holds there for two years, edges to 11.0% in FY29E and reaches 12.0% in FY31E. I defend this on three grounds. First, it is a **return to Titan's own historical band**: EBIT margin was 10.2% in FY22 and 10.9% in FY23, so the forecast assumes Titan recovers the profitability it has already demonstrated rather than reaching a new level until FY31. Second, Titan is **commoditising the gold market**, as the most trusted national player, it increasingly sets the standard for pricing, purity and trade-in, which moves the jewellery business toward a more structured, less discount-driven economics; and operating leverage and mix (studded, CaratLane, Mia, higher-margin watches at 15.6%) keep working in its favour. Third, a business that has reached maturity by FY31 should be earning its normalised margin, not its trough one.

The margin path is the most favourable operating assumption in the model and it should be read together with the deliberately demanding cost of capital. The table shows how sensitive the intrinsic value is to it.

EBIT margin vs base (all years)	-2.0 pp	-1.0 pp	Base	+1.0 pp	+2.0 pp
FY31E EBIT margin	10.0%	11.0%	12.0%	13.0%	14.0%
Intrinsic value (₹ per share)	492	572	652	732	812

Source: Calculations using the model's revenue, reinvestment rates, WACC (12.37%) and terminal growth (6%). Margin shifts applied to every forecast year.

Each percentage point of EBIT margin is worth roughly ₹80 per share. Even if margin were held 2 points above the base case in every year, intrinsic value would be about ₹812, far from the market price: the margin thesis matters, but it is not what separates this valuation from the market.

8. Reinvestment and free cash flow

Free cash flow to the firm is computed as NOPAT minus net reinvestment. For history, net reinvestment is capital expenditure minus depreciation plus the change in non-cash working capital. For the forecast, it is NOPAT multiplied by a reinvestment rate that is faded toward its steady-state level, so that fundamental growth equals ROIC × reinvestment rate. The historical numbers show why this is the pivotal judgment in the whole valuation.

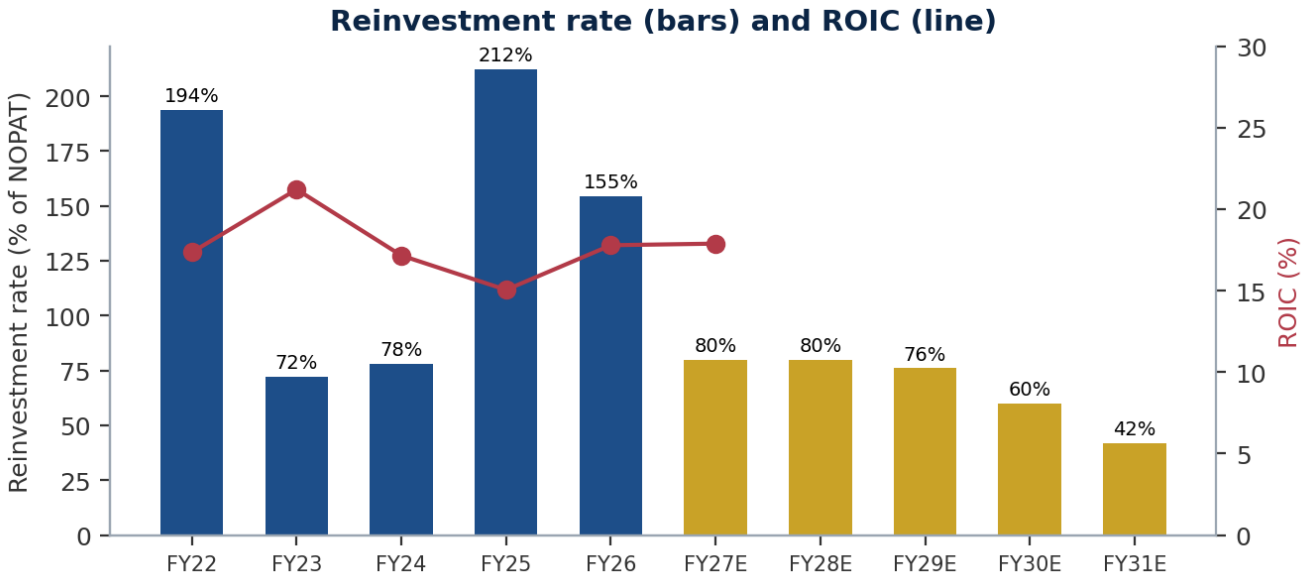


Figure 10: Reinvestment rate (bars) and ROIC (line). Source: model (FCFF forecasting).

The reinvestment reality. In FY22, FY25 and FY26 Titan reinvested 194%, 212% and 155% of its NOPAT, respectively. Those years were dominated by the build-up of working capital: ₹4,408 crore in FY22, ₹7,694 crore in FY25 and ₹8,424 crore in FY26. The resulting FCFF was negative: ₹-2,042 crore, ₹-3,950 crore and ₹-2,993 crore. The cumulative FCFF over FY21-FY26 is ₹-6,184 crore, despite cumulative NOPAT of ₹18,713 crore. In plain terms, Titan has been consuming all of its earnings, and more, to fund growth.

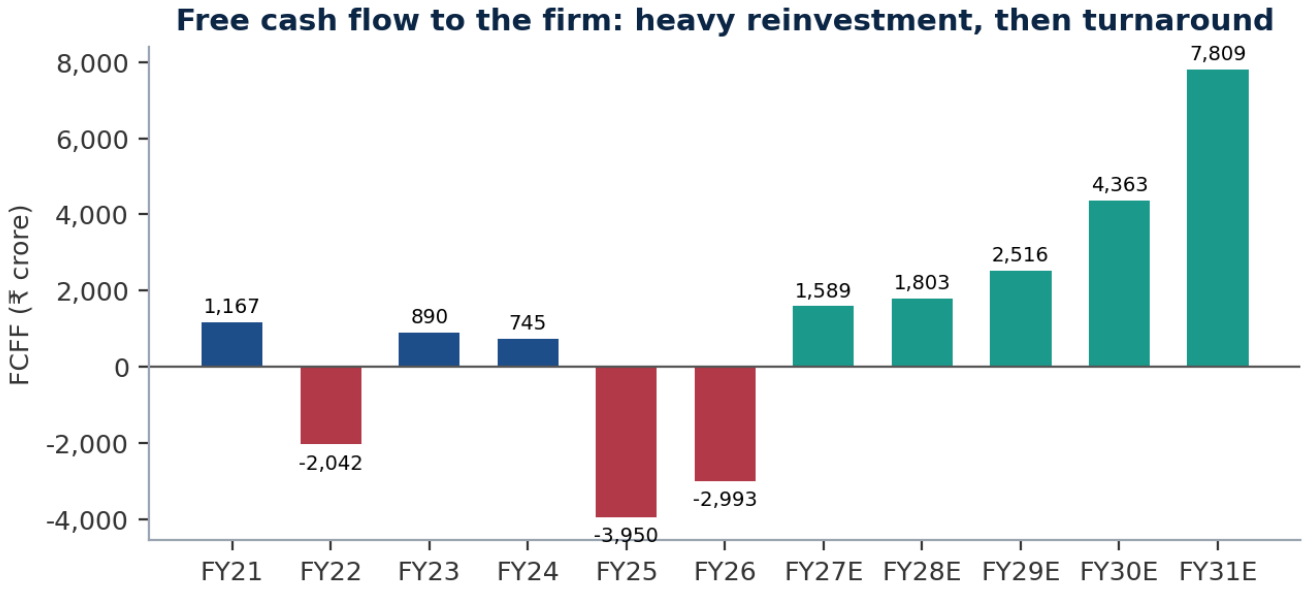


Figure 11: FCFF, FY21-FY31E. Source: model (FCFF forecasting).

The strategic fade. The model steps reinvestment down to 80% in FY27E and FY28E, 76% in FY29E, 60% in FY30E and **42% in FY31E**. This is the point at which FCFF turns decisively positive. The logic is internally consistent: with ROIC of about 17.9%, reinvesting 80% implies fundamental growth of 14.3%, in line with the 15.4% revenue growth in FY27E; at 42% reinvestment, fundamental growth is about 7.5%, consistent with the 8% revenue growth in FY31E. The fade is therefore a direct consequence of the revenue fade, not an independent assumption.

₹ crore	FY21	FY22	FY23	FY24	FY25	FY26
Total equity	7,497	9,303	11,851	9,393	11,624	15,703
Total debt	5,638	7,275	9,367	15,528	20,777	30,621
Cash & equivalents	560	1,573	1,343	1,526	1,584	1,917
Invested capital	12,575	15,005	19,875	23,395	30,817	44,407
Capex	-139	-216	-420	-671	-470	-877

₹ crore	FY21	FY22	FY23	FY24	FY25	FY26
Depreciation	375	399	441	584	693	826
Change in NWC	-4	-4,408	-2,314	-2,578	-7,694	-8,424
Net reinvestment	-232	4,225	2,293	2,665	7,471	8,475
FCFF	1,167	-2,042	890	745	-3,950	-2,993
ROIC	-	17.4%	21.2%	17.2%	15.1%	17.8%
Reinvestment rate	-25%	194%	72%	78%	212%	155%

Source: model (FCFF forecasting). Invested capital = equity + debt - cash. Change in NWC is shown with the model's sign convention (negative = investment).

9. Cost of capital

The cost of capital is where this study is most deliberately demanding. Titan's WACC of **12.37%** is built bottom-up, with each building block documented, and is well above the roughly 10% that the market price appears to embed. It is high for specific, defensible reasons: an Indian-rupee risk-free rate, a country-risk premium that is added explicitly, and a beta anchored on riskier small-cap jewellery peers.

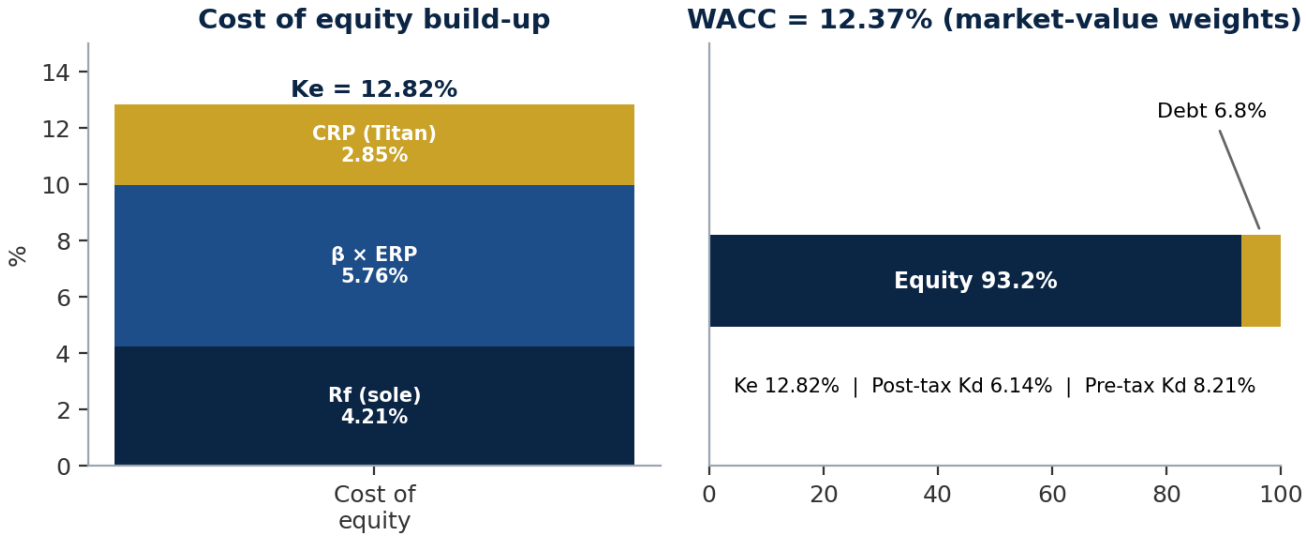


Figure 12: Cost of equity build-up (left) and capital-structure weights (right). Source: model.

9.1 Cost of equity: 12.82%

The model uses Ke = Rf (sole) + β × ERP + CRP (Titan). Each component is explained below.

Component	Value	Basis
Rf (economy): 10-year G-Sec	7.21%	Rupee government bond yield, which already embeds India's sovereign default risk
CRP (India)	3.00%	Country risk premium for Baa3 (Moody's)
Rf (sole)	4.21%	Rf (economy) less CRP (India): a default-free rupee rate
Beta (relevered)	0.9704	Bottom-up: peer median unlevered 0.9199, relevered at Titan's D/E of 7.33%
ERP	5.94%	Median expected return (13.0%) less Rf (sole) and CRP (Titan)
CRP (Titan)	2.85%	94% India × 3.00% + 6% hosts × 0.57% median host-country CRP
Cost of equity	**12.82%**	4.21% + 0.9704 × 5.94% + 2.85%

Equity risk premium. The ERP is an *expectations-based proxy*: the median of published 12-month Titan return expectations from Goldman Sachs (10%), Nomura (11%), JPMorgan (12%), PL Capital (12%), BofA Securities (12%) and a Reuters poll of 28 analysts (5%), which is 11.5%, plus a 1.5% dividend yield to give a 13.0% expected return. Subtracting the sole risk-free rate (4.21%) and Titan's CRP (2.85%) leaves an ERP of 5.94%. This is a pragmatic way to anchor the premium in what informed market participants expect Titan to earn, but it is not a historical or a Damodaran-style implied ERP, and a different construction would shift the answer.

Country risk premium. Titan earns about 94% of its revenue in India and 6% abroad (UAE, Qatar, Saudi Arabia, Kuwait, Oman, Bahrain, Singapore, Hong Kong and the United States). Titan's CRP is weighted on that split, using a median host-country CRP of 0.57% for the 6%. The result, 2.85%, is added to the cost of equity

directly; the CRP is deducted from the rupee Rf so that it is not counted twice.

9.2 Bottom-up beta

Because Titan's own regression beta (1.14 raw, 1.03 adjusted) reflects one company's idiosyncratic noise, the model derives beta from the jewellery peer set. Each peer's raw beta is adjusted toward 1.0 (in the model, 25% raw beta plus 75% weight on 1.0, a Blume-style shrinkage), unlevered at its own market D/E and 25.17% tax rate (Beta ÷ (1 + (1 - t) × D/E)), and the **median unlevered beta** of the five peers (0.9199, excluding Titan) is relevered at Titan's D/E of 7.33% to give **0.9704**. Debt is defined identically for Titan and every peer: borrowings plus gold on loan plus lease liabilities.

Company	Raw β	Adj. β	Debt (₹ cr)	Mkt equity (₹ cr)	D/E	Unlevered β
Titan Company Limited	1.135	1.034	30,621	417,703	7.3%	0.980
Kalyan Jewellers	0.974	0.994	6,117	57,126	10.7%	0.920
Thangamayil Jewellery	0.499	0.875	915	15,745	5.8%	0.838
PC Jeweller	1.318	1.080	1,166	12,818	9.1%	1.011
Sky Gold & Diamonds	1.270	1.068	869	12,546	6.9%	1.015
BlueStone Jewellery	-0.127	0.718	1,984	12,141	16.3%	0.640
Median unlevered β (excl. Titan)						**0.920**
Relevered β at Titan D/E 7.33%						**0.970**

Source: model (Bottom-up Beta; market data from weekly returns versus Nifty 50). BlueStone's negative raw beta reflects a short listing history and is pulled up by the Blume adjustment.

9.3 Cost of debt: 6.14% post-tax

Titan's reported effective interest rate (4.59%) is **not** used, because gold on loan carries a very low nominal rate and so the reported rate falls below the risk-free rate; it is not a valid forward-looking cost of capital. Instead, the pre-tax cost of debt is the economy risk-free rate (7.21%) plus a 1.0% default spread, 8.21%, and the post-tax cost is 8.21% × (1 - 25.17%) = **6.14%**.

Debt component	FY25	FY26
Current borrowings	9,691	11,285
Non-current borrowings	595	93
Gold on loan (all current)	7,810	16,070
Lease liabilities (current)	363	461
Lease liabilities (non-current)	2,318	2,712
Total debt	**20,777**	**30,621**

Source: model (Cost of Debt). Debt is carried at book value, which is taken as market value because maturities are short and leases are at present value.

9.4 Weighted average cost of capital: 12.37%

	Value (₹ cr)	Weight	Cost	Contribution
Equity (market capitalisation)	417,703	93.17%	12.82%	11.94%
Debt (market value = book)	30,621	6.83%	6.14%	0.42%
Total capital / WACC	**448,324**	**100%**		**12.37%**

Because Titan is overwhelmingly equity-funded at *market* values, WACC is close to the cost of equity. If the large gold-on-loan book were instead treated as operating (non-interest-bearing), WACC would be marginally higher, not lower, so the debt definition does not flatter the result.

10. DCF valuation

The explicit forecast covers five years (FY27E-FY31E). Each year's FCFF is discounted at 12.37% from the valuation date; a terminal value is computed with a Gordon-growth formula at **6% perpetual growth**, a rate the study caps below the 7.21% risk-free rate and in line with nominal growth of the Indian economy.

₹ crore	FY27E	FY28E	FY29E	FY30E	FY31E
Year of projection	1	2	3	4	5
FCFF	1,589	1,803	2,516	4,363	7,809
Discount factor at 12.37%	0.890	0.792	0.705	0.627	0.558
Present value of FCFF	1,414	1,428	1,773	2,737	4,359

Valuation step	₹ crore
Sum of PV of FCFF (FY27E-FY31E)	11,711
Terminal-year FCFF (FY31E)	7,809
Terminal value = FCFF × (1 + 6%) / (12.37% - 6%)	129,984
PV of terminal value	72,557
Enterprise value (operating)	**84,268**
(+) Cash and equivalents	1,917
(+) Non-operating investments	3,506
(-) Debt (borrowings, gold on loan, leases)	-30,621
(-) Minority and other obligated interests	-1,180
Equity value	**57,890**
Shares outstanding (crore)	88.78
Intrinsic value per share (₹)	**652**

Source: model (DCF). Totals may differ by rounding.

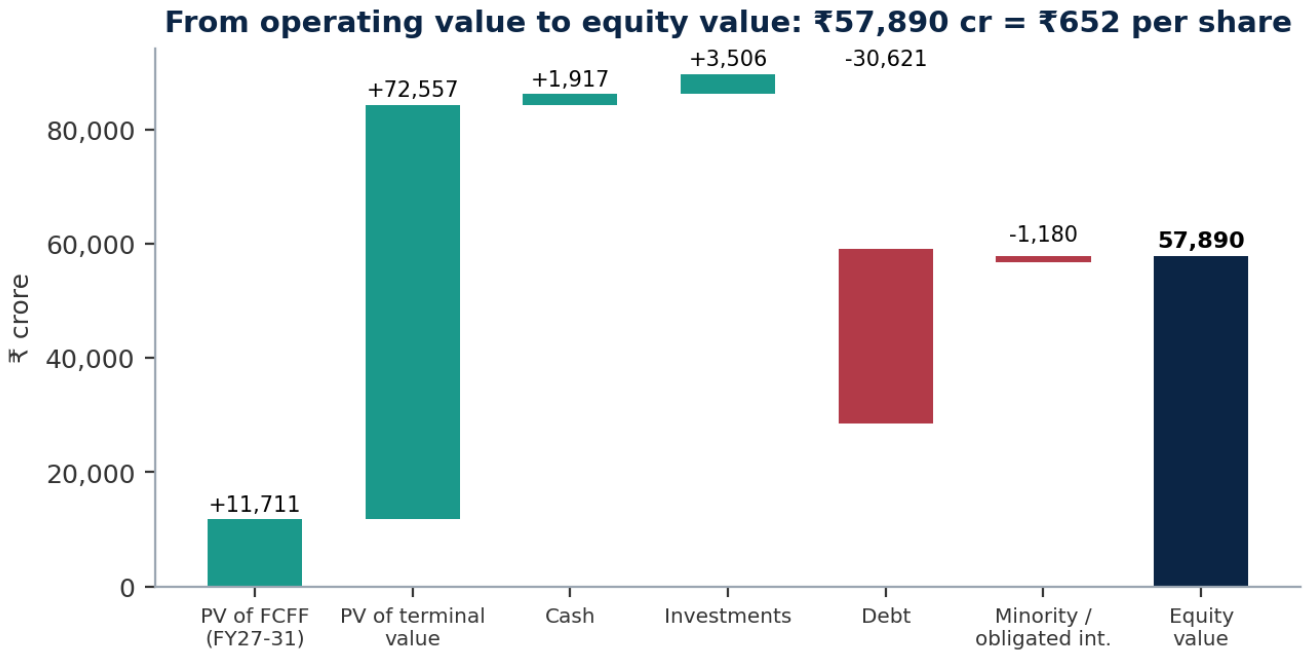


Figure 13: Enterprise-value-to-equity-value bridge. Source: model.

10.1 Reading the result

- **Terminal value dominates.** 86% of enterprise value comes from the terminal value, which is normal for a company whose cash flows are still ramping, but it means that the answer is highly sensitive to WACC and terminal growth (section 11).
- **The bridge is heavy.** Debt of ₹30,621 crore, including ₹16,070 crore of gold on loan, absorbs 36% of operating enterprise value. Net of cash, investments and obligated interests, the claims senior to equity total

₹26,378 crore.

- **Implied multiples.** Terminal value is 9.7x FY31E NOPAT and 7.2x FY31E EBIT. At ₹652 the stock would trade at 11.4x FY26 earnings, 10.1x EV/EBITDA, 0.96x EV/sales and 3.7x book value.
- **Terminal reinvestment cross-check.** The terminal FCFF carries FY31E's 42% reinvestment rate, but sustaining 6% growth at an ROIC of 17.9% needs only about 34% (6% ÷ 17.9%). Normalising terminal reinvestment would lift value to roughly **₹771** (+18%), so the base case is, if anything, slightly conservative on this one assumption.

11. Sensitivity and scenario analysis

The table shows intrinsic value per share (₹) for combinations of WACC and terminal growth, taken from the model's sensitivity grid. The base case (12.37%, 6.0%) is highlighted.

WACC \ g	4.0%	5.0%	6.0%	7.0%	8.0%
9.37%	937	1,199	1,616	2,386	4,279
9.87%	819	1,031	1,351	1,894	3,019
10.37%	720	894	1,146	1,549	2,291
10.87%	636	781	984	1,293	1,817
11.37%	564	685	852	1,096	1,484
11.87%	500	604	743	940	1,238
12.37%	445	534	**652**	813	1,048
12.87%	396	473	574	708	897
13.37%	352	420	506	620	775
13.87%	313	372	447	544	674
14.37%	277	330	396	479	589
14.87%	246	293	350	423	516
15.37%	216	259	310	373	453
15.87%	190	228	273	329	399

Source: model (DCF sensitivity table). Values shown in ₹ per share. Cells where g approaches WACC rise sharply because of the Gordon-growth denominator.

Scenario summary

Scenario	WACC	Terminal g	Intrinsic value (₹)	vs CMP ₹4,705
Demanding (WACC +1pp, g -1pp)	13.37%	5.0%	420	-91.1%
Base case	12.37%	6.0%	652	-86.1%
Generous (WACC -1pp, g +1pp)	11.37%	7.0%	1,096	-76.7%
Market-implied on model cash flows	7.35%	6.0%	4,705	0.0%

The key message of the grid is the **asymmetry**. The WACC axis moves value by roughly ₹150-200 per share for each point; reaching the market price would need the cost of capital to fall below 8% or terminal growth to approach the discount rate, neither of which is a reasonable base case for an Indian rupee cash flow. Even in the most generous cell that is economically plausible (a WACC of about 10% and 7% perpetual growth), the five-year-horizon value is under ₹2,000.

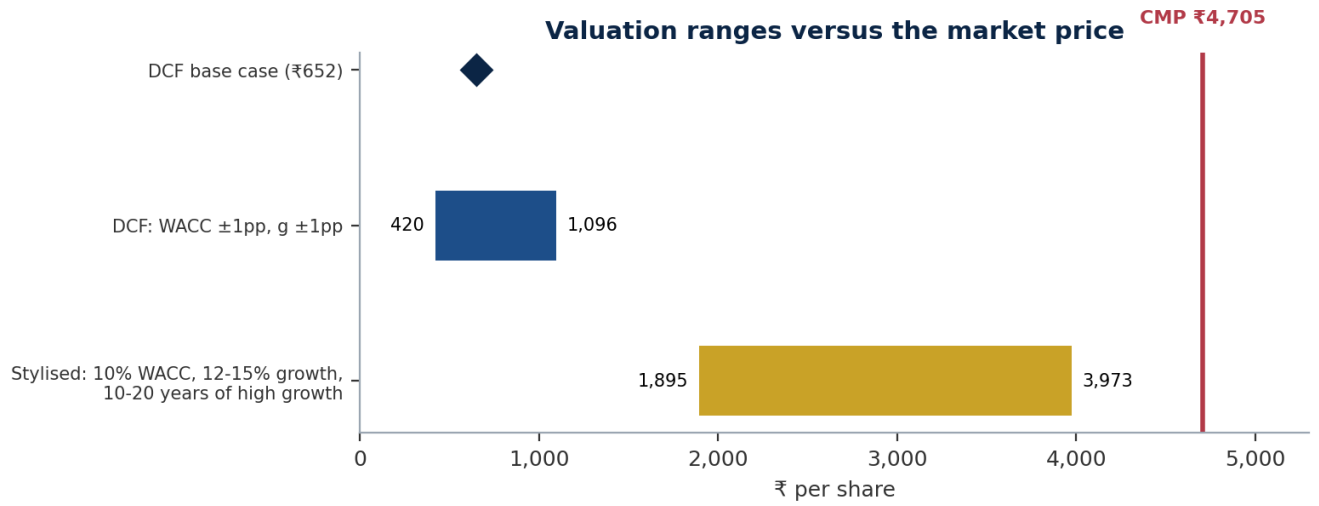


Figure 14: Valuation ranges versus the market price.

12. What is the market pricing? A reverse DCF

If the intrinsic value is ₹652 and the market price is ₹4,705, the market must be assuming something quite different from this model. This section asks what that is in two steps.

12.1 Holding the model's cash flows: the implied WACC

Terminal growth	WACC at which the model value equals ₹4,705
6.0%	7.35%
6.5%	7.83%
7.0%	8.30%

With the five-year path as modelled, the market price needs a discount rate of 7.4-8.3%, essentially the risk-free rate of a rupee investor. That is not a plausible cost of equity for an inventory-heavy, gold-linked retailer, so the market must be assuming a *longer or higher* cash-flow path, not only a lower WACC.

12.2 Extending the runway: a stylised reverse DCF

To test the claim that the market is pricing a cost of capital of about 10% and a decade or more of hyper-growth, the model's logic is extended in a stylised way. Revenue grows at a constant high rate for N years from the FY26 base; EBIT margin is 12% (the model's FY31E margin); tax is 25.17%; new investment earns the model's 17.9% ROIC, so reinvestment each year equals growth ÷ ROIC; after N years growth drops to 6% and a terminal value is taken. The bridge items are the same as in the base case.

Growth sustained at 12% a year (value per share, ₹):

WACC	N = 5 yrs	N = 10 yrs	N = 15 yrs	N = 20 yrs
12.37%	811	938	1,062	1,185
11.00%	1,159	1,375	1,602	1,839
10.00%	1,565	1,895	2,255	2,650

Growth sustained at 15% a year (value per share, ₹):

WACC	N = 5 yrs	N = 10 yrs	N = 15 yrs	N = 20 yrs
12.37%	880	1,101	1,350	1,629
11.00%	1,273	1,657	2,115	2,662
10.00%	1,734	2,322	3,056	3,973

Source: author calculation, stylised extension of the model. Starting point: FY26 revenue ₹87,584 cr. Bridge: +₹1,917 cr cash, +₹3,506 cr investments, -₹30,621 cr debt, -₹1,180 cr minority interest; 88.78 cr shares.

The grids show that **even a 10% WACC combined with 15% growth for 20 years produces about ₹3,973**, still below ₹4,705, if margin stays at 12% and incremental ROIC at 17.9%. The market price therefore requires something more: higher profitability, or higher returns on new capital, or both. A single combination that reproduces the market price within 1% is below:

What you have to believe at ₹4,705	Model base case	Market-implied (stylised)
Cost of capital	12.37%	10%
Years of 15% growth	5 years of fading growth (15.4% to 8%)	15 years
Steady-state EBIT margin	12%	14%
Return on new capital (ROIC)	17.9%	25%
Terminal growth	6%	6%
Resulting value per share (₹)	652	**4,659**

Interpretation. The market is not merely using a lower discount rate. It is paying for roughly **15 years of 15% growth at a 14% EBIT margin and a 25% return on new capital**, a combination in which Titan's margin and capital efficiency improve well beyond anything it has achieved (FY22-FY26 ROIC averaged 17.7%; best EBIT margin 10.9%) and its growth stays above the Indian nominal GDP growth rate for a decade and a half. This study does not argue that outcome is impossible. It argues that the price already contains it, with no margin of safety and every year of success counted in advance.

13. Market multiples and relative valuation

Multiples make the gap between the intrinsic value and the market price concrete. The table compares what an investor pays at the market price with what the same investor would pay at the model's intrinsic value. Enterprise value at the market price is market capitalisation plus debt (₹30,621 cr) and minority interests (₹1,180 cr) less cash (₹1,917 cr) and investments (₹3,506 cr), or about ₹444,081 crore.

Multiple (FY26 actuals)	At market price (₹4,705)	At intrinsic value (₹652)
Price / earnings (EPS ₹57.14)	82.3x	11.4x
EV / EBITDA (₹8,357 cr)	53.1x	10.1x
EV / EBIT (₹7,531 cr)	59.0x	11.2x
EV / Sales (₹87,584 cr)	5.07x	0.96x
Price / book (net worth ₹15,703 cr)	26.6x	3.7x
Dividend yield (DPS ₹15.04)	0.32%	2.31%
Market cap / FY31E NOPAT (₹13,463 cr)	31.0x	4.3x
Market cap / FY31E FCFF (₹7,809 cr)	53.5x	7.4x

Source: author calculations from the model. FY31E multiples use model forecasts and compare the market capitalisation, or the intrinsic equity value of ₹57,890 cr, with FY31E figures.

Two observations stand out. First, even looking five years ahead, to a Titan that has matured and is generating ₹7,809 crore of free cash flow, the market capitalisation is more than 53 times that cash flow, and a buyer today pays over 31 times FY31E NOPAT. Second, at the intrinsic value of ₹652 Titan would still trade at 11.4 times earnings: a multiple that is not punitive for a company earning a 32% return on equity, which shows that the finding is about the price of growth rather than about weak fundamentals.

Peer context

Company	FY26 revenue (₹ cr)	Market cap (₹ cr)	Market cap / revenue	Debt / equity (market)	Unlevered beta
Titan Company	87,584	417,703	4.77x	7.3%	0.98
Kalyan Jewellers	35,743	57,126	1.60x	10.7%	0.92
Thangamayil Jewellery	n.a.	15,745	n.a.	5.8%	0.84
PC Jeweller	n.a.	12,818	n.a.	9.1%	1.01
Sky Gold & Diamonds	n.a.	12,546	n.a.	6.9%	1.02
BlueStone Jewellery	n.a.	12,141	n.a.	16.3%	0.64

Source: model (Titan Competitor Division; Bottom-up Beta). n.a. = not collected in the model. Kalyan is the only listed peer with revenue in the model; its market-cap-to-revenue multiple is about one-third of Titan's.

14. SWOT analysis

The SWOT below is an independent assessment. It draws on the financial analysis in this report and on the competitive and strategic facts in the model, and it is deliberately framed around what matters for *cash flows and risk* rather than for brand narrative.

STRENGTHS	WEAKNESSES
• **Trust and brand.** Tata parentage and decades of purity assurance make Tanishq the default branded choice, which drives share gain from the unorganised sector. • **Scale leadership.** ₹87,584 cr of revenue, ahead of Kalyan (₹35,743 cr) and Malabar (about ₹54,000 cr), with national reach and purchasing scale. • **Diversified portfolio.** Jewellery, watches (15.6% EBIT margin), eyecare, CaratLane (PBT ₹357 cr, +78%) and TEAL (19.1% margin, +73%) provide different growth and margin drivers. • **Vertical integration.** In-house design, manufacturing (Hosur, Coimbatore, Pantnagar, Chikkaballapur), diamond expertise centres and lightweighting technology protect quality and cost. • **Returns and funding.** ROIC of 15-21% and ROE of 32%; low-cost metal funding through gold on loan; interest cover still 6.4x. • **Operating leverage.** Opex fell from 8.4% to 6.6% of sales in three years, offsetting gross margin pressure.	• **Concentration.** Jewellery is 77% of revenue and 89% of disclosed segment EBIT: a single category and a single commodity drive the group. • **Capital intensity of working capital.** Inventory is 70.6% of assets and 178 days of sales; FCFF was negative in three of five years and reinvestment was 155% of NOPAT in FY26. • **Rising leverage.** Debt rose from ₹5,638 cr to ₹30,621 cr in five years; book debt/equity is 1.95x and ROE depends on a 3.9x equity multiplier. • **Gross-margin erosion.** Gross margin fell from 20.4% to 16.1% over FY23-FY26; the model relies on a recovery in EBIT margin to 12%. • **Weak EyeCare.** EBIT fell 3.8% and margin fell 160 bps to 8.4% against a much larger competitor. • **Sub-scale new businesses.** Emerging brands are 0.6% of revenue; Damas lost ₹18 cr in its first quarter. • **Valuation.** A price equal to 82 times earnings leaves almost no room for operational disappointment.
OPPORTUNITIES	**THREATS**
• **Formalisation and market-share gain.** Hallmarking, GST and consumer trust continue to shift volume from unorganised jewellers to branded chains. • **Network runway.** 135 jewellery stores were added in FY26; Tier 2 and 3 towns and Mia's accessible price points leave room for years of rollout. • **International scale-up.** Damas (GCC) and the US business (₹1,728 cr, doubled) tap diaspora demand and Arab luxury consumers. • **Premiumisation.** Studded jewellery, bridal lounges, luxury watches (up to ₹10 lakh+) and CaratLane's 20%+ growth expand mix and margin. • **TEAL and adjacent categories.** Aerospace, defence and semiconductor automation can become a second earnings engine; fragrances, bags and ethnic wear are early-stage options. • **Efficiency.** RFID, robotics and automation can lift inventory turns; each ten days of inventory released is worth roughly ₹2,400 cr of capital at FY26 sales.	• **Gold-price volatility and policy.** A sharp price move or a change in import duty, hallmarking or metal-loan rules would hit demand, inventory value and financing at the same time. • **Demand elasticity at record prices.** High gold prices cut volumes and push buyers toward lighter, lower-carat or competing products. • **Competition.** Kalyan grew about 43% in FY26; Malabar and regional jewellers compete on making charges; Lenskart competes for eyecare; lab-grown diamonds could cannibalise natural diamond sales. • **Interest-rate and funding risk.** Gold on loan is short-term and entirely current; tighter metal-loan availability would raise the cost of financing the inventory. • **Integration and execution risk.** Damas, the US push and TEAL's capacity build all draw management attention and capital. • **Currency and geopolitical exposure.** Gulf, US and Singapore earnings face FX and regional risks. • **De-rating.** If growth slows to the model's fade path while the multiple is 80x earnings, the equity risks sharp price compression.

What the SWOT means for the valuation

The strengths explain why Titan deserves a quality premium, and the model recognises them in the operating forecast (a margin recovery to 12% and ROIC near 18%), but not in the cost of capital, which is anchored on the peer median beta. The weaknesses and threats, however, all converge on one variable: **capital intensity**. A business whose growth must be financed by inventory, and whose inventory is financed by short-term metal loans, has cash flows that arrive late and a cost of capital that cannot be assumed to be low. That is why this study forces maturity within five years, discounts at 12.37%, and prices Titan on cash it can actually distribute.

15. Key risks

15.1 Business risks

Risk	Description	Severity	Mitigants
Gold price and policy	Price spikes or duty/hallmark changes disrupt demand and inventory values	High	Hedging, gold exchange, lightweighting, studded mix
Working-capital financing	Gold on loan (52% of debt) is short-term; withdrawal raises funding costs	High	Tata credit standing; multiple bank lines; RFID inventory control
Competition	Kalyan, Malabar, regional jewellers, Lenskart, lab-grown entrants	Medium	Brand trust, design, network, CaratLane and beYon portfolios
Margin reversal	Gross margin has fallen four years in a row; the model needs a recovery to 12% EBIT	Medium	Operating leverage, premium mix, watches and TEAL
Integration and expansion	Damas losses, US scale-up, new categories and TEAL capex	Medium	Phased rollouts; Tata governance
Regulatory and tax	KYC/PMLA, GST, customs duty, labour and ESG rules	Medium	Compliance systems; Suraksha risk programme
Currency and geopolitics	GCC, US and Singapore operations; imported diamonds and metals	Low-Medium	Natural hedges; small share (6%) of revenue

15.2 Valuation risks

- **Terminal value dependence.** 86% of enterprise value is terminal; a 1pp change in WACC moves the value by about ₹150-200 per share.
- **Cost-of-equity construction.** The ERP is a broker-expectation proxy and the CRP is added explicitly; different but defensible methods would give a lower or higher Ke.
- **Peer-set beta.** The unlevered beta rests on five listed peers, several of them small and thinly traded; the sensitivity to beta is significant (0.1 on beta moves Ke by about 0.6pp).
- **Forecast dependence on a margin recovery.** About ₹80 of value per point of EBIT margin; the base case needs 12.0% by FY31E.
- **Maturity assumption.** The model assumes Titan matures within five years. If Titan instead sustains mid-teens growth for much longer, the value would be materially higher, as shown in section 12.
- **Valuation timing.** Cash flows are discounted from the FY26 balance-sheet date (31 March 2026), not rolled forward to the report date; a roll-forward would add roughly ₹45-50 per share.

15.3 Risks to the thesis in both directions

Upside risks to the intrinsic value: faster margin expansion, a quicker fall in working capital intensity (for example if RFID and automation release inventory), a lower cost of capital as Indian rates fall and the CRP narrows, and sustained high growth through international scale-up. **Downside risks:** a sharp gold correction or demand shock, funding stress in metal loans, an erosion of Titan's share to Kalyan and Malabar, and failure of the Damas and US investments to earn their cost of capital. The upside risks are credible but insufficient, in any single case, to bridge the gap to the market price.

16. ESG and governance

Titan's annual report documents sustainability and governance practices that reduce operating and reputational risk. They are not modelled explicitly, but they support the quality of the business and justify not adding a governance risk premium to the cost of capital.

Environment

- Solar installations of about 760 kW across Hosur, Coimbatore and Pantnagar offset about 80% of the watch division's emissions; a further 150 kW of solar and emission controls at the eyewear plants.
- A 5-stage RO effluent plant and water recovery systems; the eyecare plants cut lens-cleaning water use by 93%.
- Watershed restoration (Vaaranavanam) added 54+ crore litres of freshwater capacity and brought the Hosur net water ratio to **1.65** (water positive).
- Lightweighting and 3D printing reduce gold per design, saving raw material; vegan viscose fabric science at Taneira reduces dependence on silk.

Social

- **Suraksha** safety programme covers 2,885 stores with experiential safety training (Suraksha Gurukul) and a central store-risk dashboard.
- Weavershala network (18 centres) supports more than 500 artisan weavers with predictable wages and defect-rate improvement.
- Diamond Expertise Centres and standardised measurement of diamond brilliance raise transparency for consumers.

Governance

- Tata Group governance framework; the promoter group is Tata Sons and TIDCO.
- Consistent dividend policy: payout of 26-37% of earnings, DPS of ₹15.04 in FY26 (up 36%).
- Simple, transparent capital structure; gold-on-loan and lease liabilities disclosed explicitly, enabling the debt-consistent treatment used in this study.

17. Investment thesis

Recommendation: ACCUMULATE

While our strict 5-year DCF model yields a conservative baseline valuation of ÿ652 by forcing early operational maturity, the underlying business momentum justifies the market's premium multiple. We assign an ACCUMULATE rating to Titan Company Limited, driven by structural cash flow expansion and a proven commitment to shareholder returns.

The Damas Consolidation Catalyst: Titan’s FY26 financials capture only a single quarter of Damas Jewellery LLC (ÿ574 crore). A full-year integration in FY27 will trigger a material revenue spike and secure direct access to the Arab luxury consumer, fundamentally extending Titan's hyper-growth runway beyond domestic borders.

Accretive Reinvestment vs. Near-Term Cash Drain: While Free Cash Flow to the Firm (FCFF) is currently suppressed, this is the mechanical result of aggressive, high-return reinvestment rather than operational weakness. By funding global and domestic rollouts at a 17.8% Return on Invested Capital (ROIC), this near-term capital expenditure will compound into massive future cash generation.

Earnings Quality & Conclusion: Despite immense working capital requirements, Titan demonstrates exceptional earnings quality, evidenced by a 36% dividend increase in FY26. Titan is successfully transitioning into a global lifestyle compounder. For growth-oriented investors, the Damas acquisition validates the street's extended growth thesis, making current market levels an attractive entry point for long-term capital appreciation.

Appendix A: Model assumptions

Input	Value	Source / basis
Valuation basis	FY26 balance sheet (31 Mar 2026)	Titan Annual Report 2025-26
Current market price	₹4,705	Model data sheet
Shares outstanding	88.7786 crore	Model data sheet
Market capitalisation	₹417,703 cr	Price × shares
Risk-free rate (economy)	7.21%	10-year G-Sec
India CRP	3.00%	Baa3 (Moody's)
Risk-free rate (sole)	4.21%	Rf economy - CRP India
Titan CRP	2.85%	94% India / 6% hosts, revenue-weighted
ERP	5.94%	13.0% expected return less Rf (sole) and CRP (Titan)
Relevered beta	0.9704	Median peer unlevered 0.9199 at D/E 7.33%
Cost of equity	12.82%	CAPM + CRP
Pre-tax cost of debt	8.21%	Rf economy + 1.0% spread
Tax rate	25.17%	Section 115BAA (22% + 10% surcharge + 4% cess)
Post-tax cost of debt	6.14%	
Equity / debt weights	93.2% / 6.8%	Market value of equity; book value of debt
WACC	12.37%	
Terminal growth	6.0%	Below Rf (7.21%)
Revenue growth FY27E-FY31E	15.42%, 13.5%, 11%, 9%, 8%	Blend of consensus 12.7% and segment-weighted 18.15%, faded
EBIT margin FY27E-FY31E	10.5%, 10.5%, 11%, 10.5%, 12%	Return to historical band; maturity
Reinvestment rate FY27E-FY31E	80%, 80%, 76%, 60%, 42%	Fade as growth matures
Debt	₹30,621 cr	Borrowings 11,378 + gold on loan 16,070 + leases 3,173
Cash	₹1,917 cr	FY26
Non-operating investments	₹3,506 cr	FY26 balance sheet
Minority and other obligated interests	₹1,180 cr	As carried in the model

Appendix B: Methodology notes and limitations

- **Debt convention.** Debt includes current and non-current borrowings, gold on loan and lease liabilities, applied consistently to Titan and every peer in the beta calculation. Interest is total finance cost, matching the debt definition. Trade payables, customer advances and deposit schemes are not debt. Because gold on loan and leases are financing items, working capital carries the full inventory and right-of-use additions are treated as capital expenditure.
- **Operating profit.** EBIT is EBITDA less depreciation, excluding other income (₹450 cr in FY26), which is treated as non-operating; cash and investments are valued separately in the bridge.
- **Reinvestment.** Historical net reinvestment = capex - depreciation + change in non-cash working capital (excluding gold-on-loan movements). Invested capital = equity + debt - cash.
- **Timing.** Cash flows are discounted in whole years from the FY26 year-end; no mid-year or roll-forward adjustment has been applied.
- **FY26 comparability.** Revenue growth of 44.9% in FY26 includes the consolidation of Damas for about three months and is not treated as a run-rate.
- **ERP proxy.** The ERP is derived from published 12-month expectations of six brokers and polls, not from a historical or implied-premium methodology.
- **Peer data.** Beta is based on weekly returns versus the Nifty 50 for five listed jewellery peers; some have short trading histories.
- **Stylised extension (section 12).** The reverse DCF is an illustration built on the model's economics; it is not a forecast.

Appendix C: Glossary

Term	Meaning
FCFF	Free cash flow to the firm: NOPAT less net reinvestment
NOPAT	Net operating profit after tax: EBIT × (1 - tax rate)
ROIC	Return on invested capital: NOPAT ÷ invested capital
Reinvestment rate	Net reinvestment ÷ NOPAT; fundamental growth = ROIC × reinvestment rate
WACC	Weighted average cost of capital
CRP / ERP	Country risk premium / equity risk premium
Gold on loan	Short-term metal loan from banks that finances jewellery inventory
Adjusted beta	Raw beta shrunk toward 1.0: in the model, 0.25 × raw + 0.75 (a Blume-style adjustment)
Unlevered / relevered beta	Beta stripped of, or restated for, financial leverage
Terminal value	Value of all cash flows beyond the explicit forecast, by the Gordon-growth formula
EV	Enterprise value: value of the operating business before debt and equity claims

Appendix D: Sources and disclaimer

Sources. Titan Company Limited Annual Report 2025-26 (segment results, store additions, subsidiary financials, investments, ESG disclosures); Titan historical financial statements and market data as compiled in the model (Titan_Company.xlsx), including the Screener.in export, peer revenues from company filings and websites, broker return expectations from the published forecasts of Goldman Sachs, Nomura, JPMorgan, PL Capital, BofA Securities and a Reuters analyst poll, and country risk premiums from Moody's-based estimates.

Analyst declaration. The views expressed in this report accurately reflect the analysis. **As of the date of report release, the analyst does not have any holdings in Titan or related entities. No compensation. This report is for independent study of the analyst.*

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